would be effected thereby. This proposal was actually carried out twenty-five years later.

The bank got a new Charter Act in 1839 which did not differ very materially from its predecessors. The cash reserve of one-fourth was restored, and the limit on advances was re-imposed but was raised from ₹1 lakh to ₹3 lakhs. The prohibition against the grant of advances on bank shares had also been omitted, but was ultimately maintained. More importantly after the words ‘buying and selling Bills of Exchange’, they made the significant addition ‘payable in India’, thus voluntarily imposing on themselves one of the most important and permanent restrictions under which the bank worked.

The capital of the bank at the end of this period apparently stood at a little over ₹1 crore. The Court of Directors in 1835 had insisted on compliance with their orders of 1829 requiring the increase of the bank’s capital from 50 to 70 lakhs of sicca rupees. Shortly after this, the ‘Company’s rupee’ replaced the sicca rupee in the East India Company’s coinage, and was adopted in the bank’s accounts from January 1, 1836. The capital was therefore fixed at ₹75 lakhs. The capital was increased by a further ₹37.5 lakhs in 1838 and measures were taken the same year to give effect to this proposal. Apparently the additional amount called for in 1835 was never fully subscribed, for the bank’s capital stood at only ₹107 lakhs more than twenty years later.

There are few details about the next twenty years. The charter of 1839 remained in force till 1862, being only slightly modified by Acts in 1854 and 1855. By the creation of the banks of Bombay and Madras in 1840 and 1843, the Bengal Bank lost the chance of extending its operations into other Presidencies; and though power had been taken in 1839 to open branches elsewhere, it was not exercised. The bank seems to have accepted the limitations which the charter reimposed and continued its steady but strictly local development along old lines.

The legislation of 1862–63 removed almost all the restrictions characteristic of this early period. Though these had sometimes been found inconvenient to enforce, they had on the whole been effective and salutary. It was largely owing to this conservative constitution, (which the government never allowed to be deliberately and entirely set aside), that the bank weathered the many storms which saw the failure of many other